

# **Module 9**

# **Principles of Taxation**

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## **Answers**

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The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

**SECTION B – WRITTEN QUESTIONS (Total: 80 marks)****Answer 1(a)**

SBD Company  
Depreciation allowance  
Year of assessment 2020/21

|                        | 20% pool<br>HK\$ | 30% pool<br>HK\$ | Allowance/<br>(Charge)<br>HK\$ |
|------------------------|------------------|------------------|--------------------------------|
| WDV b/f                | 38,000           | 4,000            |                                |
| Less: Disposal         |                  | <u>(6,000)</u>   |                                |
| Balancing charge       |                  | <u>(2,000)</u>   | (2,000)                        |
| Less: Annual allowance | <u>(7,600)</u>   |                  | <u>7,600</u>                   |
| WDV c/f                | <u>30,400</u>    |                  | <u>5,600</u>                   |

**Answer 1(b)**

SBD Company  
Profits tax computation  
Year of assessment 2020/21  
Basis period: year ended 31 March 2021

|                                                            | HK\$           | HK\$             |
|------------------------------------------------------------|----------------|------------------|
| Loss per account                                           |                | (264,000)        |
| Add: Accountancy fee for tax appeals                       |                | 100,000          |
| Salaries:                                                  |                |                  |
| - Bob                                                      |                | 600,000          |
| - Susan                                                    |                | 240,000          |
| - David                                                    |                | 480,000          |
| Special contributions to MPF schemes (HK\$400,000 x 4 / 5) |                | 320,000          |
| Annual contribution in respect of:                         |                |                  |
| - Susan                                                    |                | 18,000           |
| - Kent: HK\$(72,000 – 360,000 x 15%)                       |                | 18,000           |
| Loan to ex-employee written off                            |                | 50,000           |
| Increase in general provision of bad debt                  |                | 30,000           |
| Profits tax paid                                           |                | 120,000          |
| Penalty for late filing of returns                         |                | 5,000            |
| Insurance premium on Bob's life policy                     |                | 32,000           |
| Insurance premium on David's life policy                   |                | 28,000           |
| Legal fee re collection of loan to ex-employee             |                | 5,000            |
| Legal fee re advice on incorporation of the partnership    |                | 20,000           |
| Depreciation                                               |                | <u>72,000</u>    |
|                                                            |                | <u>1,874,000</u> |
| Less: Profit on sale of fixed assets                       | 50,000         |                  |
| Interest income                                            | 80,000         |                  |
| Depreciation allowance of plant & machinery                | 5,600          |                  |
| Environment-friendly vehicle                               | <u>500,000</u> | <u>635,600</u>   |
| Assessable profit                                          |                | <u>1,238,400</u> |

### Profit and loss allocation

Partners' emoluments:

- Bob: HK\$(600,000 + 240,000 + 18,000 + 32,000) = HK\$890,000
- David: HK\$(480,000 + 28,000) = HK\$508,000

|                                   | Square Limited<br>HK\$ | Bob<br>HK\$     | David<br>HK\$   | Total<br>HK\$    |
|-----------------------------------|------------------------|-----------------|-----------------|------------------|
| Partner's emoluments              | 0                      | 890,000         | 508,000         | 1,398,000        |
| Residue (2:1:1)                   | <u>(79,800)</u>        | <u>(39,900)</u> | <u>(39,900)</u> | <u>(159,600)</u> |
|                                   | (79,800)               | 850,100         | 468,100         | 1,238,400        |
| Reallocation (850,100:468,100)    | <u>79,800</u>          | <u>(51,463)</u> | <u>(28,337)</u> | <u>0</u>         |
|                                   | 0                      | 798,637         | 439,763         | 1,238,400        |
| Loss b/f & set-off                | 0                      | <u>(13,000)</u> | <u>(10,000)</u> | <u>(23,000)</u>  |
| Net assessable profit             | 0                      | <u>785,637</u>  | <u>429,763</u>  | <u>1,215,400</u> |
| Profits tax: HK\$1,215,400 x 7.5% |                        |                 |                 | 91,155           |
| Less: Tax reduction               |                        |                 |                 | <u>(10,000)</u>  |
| Profits tax payable               |                        |                 |                 | <u>81,155</u>    |

### **Answer 1(c)(i)**

Interest paid to Gold Limited

The loan from Gold Limited is used for the partnership's daily operation, and the interest paid satisfied s.16(1)(a). As Gold Limited is a company carrying on business in Hong Kong, the interest income received by it is chargeable to Hong Kong profits tax under s.15(1)(f); therefore the interest paid also satisfied the condition under s.16(2)(c). As the borrowing is not secured by any deposit or loan, s.16(2A) restriction does not apply. Additionally, there is no indication that there is interest flow-back (s.16(2B)). As such, the interest paid to Gold Limited is deductible.

### **Answer 1(c)(ii)**

Loan to ex-employee written off

To qualify for the deduction of bad debt, it must be proven to the satisfaction of the assessor that the debt is irrecoverable and the loan was included previously as trading receipt unless the person has been carrying on a money lending business (s.16(1)(d)). As the loan to an ex-employee does not satisfy the above conditions, the amount written off is not deductible.

### **Answer 2(a)**

Kate is employed as an air crew member. The income derived from services rendered by a seaman or an air crew member will be exempt from salaries tax, if he or she is not present in Hong Kong for more than:

- (1) 60 days in the year of assessment; and
- (2) 120 days over two consecutive years of assessment, one of which is the year concerned [s.8(2)(j)].

Both conditions have to be satisfied before exemption from salaries tax is obtained.

Years of assessment 2018/19 and 2019/20

As Kate was present in Hong Kong for not more than 60 days in the years of assessment 2018/19 and 2019/20, the first condition of s.8(2)(j) is satisfied. As the total number of days she was present in Hong Kong for these years of assessment was not more than 120 days, the second condition of s.8(2)(j) is also satisfied. As such, Kate's employment income is exempt from salaries tax for both the years of assessment 2018/19 and 2019/20.

Year of assessment 2020/21

As Kate was present in Hong Kong for more than 60 days in the year of assessment 2020/21, the first condition of s.8(2)(j) is not satisfied and her income is therefore chargeable to salaries tax for said year of assessment.

### **Answer 2(b)(i)**

| Kate<br>Share option gain<br>Year of assessment 2020/21 |               |                 |  |
|---------------------------------------------------------|---------------|-----------------|--|
|                                                         | HK\$          | HK\$            |  |
| Market value at the time of exercise (10,000 x HK\$22)  |               | 220,000         |  |
| Less: Cost of option                                    | 5,000         |                 |  |
| Cost of shares (10,000 x HK\$5)                         | <u>50,000</u> | <u>(55,000)</u> |  |
| Share option gain                                       |               | <u>165,000</u>  |  |

**Answer 2(b)(ii)**

Kate  
Salaries tax  
Year of assessment 2020/21  
Basis period: year ended 31 March 2021

|                                                          | HK\$            | HK\$             |
|----------------------------------------------------------|-----------------|------------------|
| Salaries                                                 |                 | 480,000          |
| Overseas allowance                                       |                 | 40,000           |
| <br>                                                     |                 |                  |
| Rental value (10%)                                       | 52,000          |                  |
| Less: Rent suffered HK\$((25,000 – 22,000) + 2,000) x 12 | <u>(60,000)</u> | <u>0</u>         |
|                                                          |                 | 520,000          |
| Share option gain                                        |                 | <u>165,000</u>   |
| Total assessable income                                  |                 | 685,000          |
| Less: Approved charitable donations                      |                 |                  |
| HK\$(40,000 + 10,000)                                    | 50,000          |                  |
| Mandatory contribution to MPF scheme                     | 18,000          |                  |
| Qualifying annuity premiums                              | <u>60,000</u>   | <u>(128,000)</u> |
|                                                          |                 | 557,000          |
| Less: Married person's allowance                         | 264,000         |                  |
| Child allowance                                          | <u>120,000</u>  | <u>(384,000)</u> |
| Net chargeable income                                    |                 | <u>173,000</u>   |
| Tax at progressive rate                                  |                 |                  |
| HK\$(173,000 – 150,000) x 14% + HK\$9,000                |                 | <u>12,220</u>    |
| Tax at standard rate (HK\$557,000 x 15%)                 |                 | <u>83,550</u>    |
| Salaries tax                                             |                 | 12,220           |
| Less: Tax reduction                                      |                 | <u>(10,000)</u>  |
| <br>                                                     |                 |                  |
| Salaries tax payable                                     |                 | <u>2,220</u>     |

**Answer 3(a)**

Under s.64 of the IRO, the requirements of a valid objection against an assessment are:

- (1) the objection must be lodged by the person assessed or his authorized representative in writing;
- (2) the notice of objection must be received by the CIR within one month from the date of issue of the notice of assessment;
- (3) the notice of objection must state precisely the grounds of objection; and
- (4) in the case of an estimated assessment raised in the absence of a return, a properly completed return must be submitted with the notice of objection or within such further period as the CIR may allow.

However, if the person is prevented from giving notice of objection within the one-month period because:

- (1) he was absent from Hong Kong;
- (2) he was sick; or
- (3) any other reasonable cause,

then the CIR may extend the one-month time limit for lodging an objection as may be reasonable given the circumstances.

### **Answer 3(b)**

If Tony wants to object against the estimated assessment, the notice of objection must be received by the CIR within one month from the date of assessment, counting from 1 June 2020, making the deadline 1 July 2020.

### **Answer 3(c)**

If Tony does not pay the tax as demanded on the due date, the tax shall be deemed to be in default and the CIR may take the following actions to recover the tax in default as provided under the IRO:

- (1) recover tax from Tony's debtors;
- (2) take civil action in the District Court; and
- (3) apply to a District Judge for the issue of a departure prevention direction to prevent Tony from leaving Hong Kong.

### **Answer 4(a)**

| Raymond and Judy<br>Property tax<br>Year of assessment 2020/21 |                 |
|----------------------------------------------------------------|-----------------|
| Rent receivable (HK\$28,000 x 12)                              | 336,000         |
| Less: 20% statutory deduction                                  | <u>(67,200)</u> |
| Net assessable value                                           | <u>268,800</u>  |
| Allocation of net assessable value                             |                 |
| Raymond (2/3)                                                  | 179,200         |
| Judy (1/3)                                                     | <u>89,600</u>   |
|                                                                | <u>268,800</u>  |

**Answer 4(b)**

Raymond and Judy  
Personal assessment  
Year of assessment 2020/21

|                                                | Raymond<br>HK\$  | Judy<br>HK\$    | Total<br>HK\$  |
|------------------------------------------------|------------------|-----------------|----------------|
| Net assessable value                           | 179,200          | 89,600          |                |
| Net assessable income                          | 1,500,000        | 0               |                |
| Net assessable profit                          | <u>299,000</u>   | 0               |                |
|                                                | 1,978,200        |                 |                |
| Less: Mortgage loan interest                   | <u>(38,000)</u>  | <u>(19,000)</u> |                |
|                                                | 1,940,200        | 70,600          |                |
| Less: Approved charitable donations (workings) | <u>(574,420)</u> | <u>(24,710)</u> |                |
| Home loan interest                             | <u>(100,000)</u> | 0               |                |
| Contributions of MPF scheme                    | <u>(18,000)</u>  | <u>0</u>        |                |
|                                                | 1,247,780        | 45,890          |                |
| Less: Business loss                            | <u>(400,000)</u> | <u>0</u>        |                |
| Reduced total income                           | <u>847,780</u>   | <u>45,890</u>   | <u>893,670</u> |

## Workings:

Judy: HK\$70,600 x 35% = HK\$24,710

Amount transferred to Raymond: HK\$(300,000 – 24,710) = HK\$275,290

Raymond: Lower of HK\$(500,000 + 275,290 – 161,000) = HK\$614,290 and

HK\$(1,940,200 + 161,000) x 35% – HK\$161,000 = HK\$574,420

**Answer 5**

Circle Limited  
Year of assessment 2020/21

|                                                                  | HK\$             | HK\$              |
|------------------------------------------------------------------|------------------|-------------------|
| Commercial building allowance                                    |                  |                   |
| Office premises                                                  |                  |                   |
| Original cost of construction                                    | 6,000,000        |                   |
| Cost of converting showroom to retail shop                       | <u>1,200,000</u> |                   |
|                                                                  | <u>7,200,000</u> |                   |
| Annual allowance: 4%                                             |                  | 288,000           |
| Director's quarters                                              |                  |                   |
| Original cost of construction                                    | 4,000,000        |                   |
| Renovation expenditure                                           | <u>500,000</u>   |                   |
|                                                                  | <u>4,500,000</u> |                   |
| Annual allowance: 4%                                             |                  | 180,000           |
| Renovation expenditure on office premises (HK\$800,000 x 1/5)    |                  | 160,000           |
| Environmental protection installations at office premises (100%) |                  | 18,000,000        |
| Repairs of director's quarters                                   |                  | <u>10,000</u>     |
|                                                                  |                  | <u>18,638,000</u> |

**Answer 6(a)**

Sale of shares in Upper Limited by Tom

Documents to be stamped:

Contract notes (Bought and sold notes)

Instrument of transfer

Contract notes:

Stamp Duty payable:  $(\text{HK\$}10\text{m} + \text{HK\$}2\text{m}) \times 0.1\% \times 2 = \text{HK\$}24,000$

Note: HK\$2m is the deemed consideration under s.24 of the Stamp Duty Ordinance.

Instrument of transfer:

Stamp duty payable: HK\$5

**Question 6(b)**

Lease of Property Y by Middle Limited

Documents to be stamped: Lease agreement

Stamp Duty payable:  $\text{HK\$}300,000 \times 4.25\% + (\text{HK\$}20,000 \times 24 + \text{HK\$}22,000 \times 24) \times 12 / 48 \times 1\%$   
= HK\$12,750 + HK\$2,520  
= HK\$15,270

\* \* \* END OF EXAMINATION PAPER \* \* \*